there was a “high probability” of RMB inclusion in the SDR.[152] On the eve of the BRICS summit in New Delhi in 2012, China also transferred currency to the BRICS domestic development banks to permit lending in local currencies.

During this time, the BRICS had mounting concerns regarding U.S. monetary policy, particularly when the U.S. Federal Reserve Bank began massive quantitative easing in the aftermath of the global financial crisis. To protect their assets in the face of the potential collapse of the dollar, they were virtually forced to continue to lend funds to the United States by retaining their large investments in U.S. Treasury securities. Moreover, many of their currencies were quite volatile against the U.S. dollar, which these and other emerging economy policymakers tended to blame on U.S. and Western monetary policy.

Among the BRICS, only the Chinese yuan remained relatively steady against the U.S. dollar. The currencies of the remaining four reacted to the first hints of the U.S. subprime crisis in early 2008 by falling sharply through early 2009, and then appreciating significantly thereafter as U.S. monetary policy became and remained very loose. It was during this period, in September 2010, that Brazil’s Finance Minister Guido Mantega famously declared that the international community was engaged in a “currency war.” After appreciating for a year and a half, in mid-2011 the currencies of all the BRICS except China began dropping fast and hard again, and they have mostly continued to do so through September 2016.[153]

One of the lessons that BRICS policymakers have learned is that a greater diversity of international anchor currencies may be desirable. However, the currencies of the other four BRICS countries have been about as volatile against the RMB as against the U.S. dollar, as shown by Figure 3.8.[154] Thus, rhetorical support from the other four for a greater role for China’s RMB (yuan) may be more about BRICS solidarity than a clear and credible calculation of self-interest.